

Public Economics and Development

Week 3: Inequality across time and countries

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What is inequality?

Unequal distribution of income, wealth, and opportunities

- Income: Differences in flow of money (e.g. labor earnings)
- Wealth: Differences in value (stock) of assets accumulated over time (stock, homes etc)
- Opportunities: Life chances determined by circumstances beyond individual effort

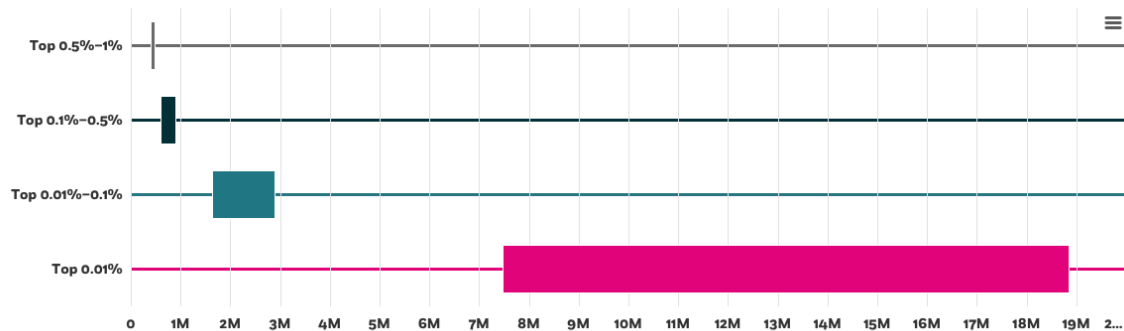
How are they measured?

- Classical: Gini Coefficient, Lorenz curve, ratio of top 20% over bottom 80% etc
- Problem: Large inequality even within the top
 - ▶ Increasing share of wealth and income by top 1%, skewing classical measurements further
- Increasing focus on share of income and wealth of top 10%, 1% and 0.1%
 - ▶ Very few people take up significant share of income and taxes
- Problem: Income measures may not be consistent
 - ▶ Different tax laws, income-earning opportunities, social contexts, and data availability

We are even talking about top 0.01% nowadays

The top 1% divided into four groups, by income

US households in 2015, excluding capital gains



Source: "Never mind the 1 percent. Let's talk about 0.01 percent", *Chicago Booth Review* ([link](#))

Why does it matter?

Efficiency losses: Inequality constrains investment in human capital

- Talented but poor individuals cannot invest in education or businesses
- Aggregate productivity suffers even if top earners are highly productive

Political economy: Wealthy groups gain outsized influence over policy

- Redistribution becomes harder precisely when it is most needed
- May even lead to lack of accountability on those with power
- Risk of self-reinforcing cycle: inequality → political power → more inequality

Social cohesion: High inequality linked to lower trust, worse health, higher crime

- Effects felt across the income distribution, not just at the bottom

Ultimately, Rising inequality $\Rightarrow$ concentration of opportunities and resources on few people

How are inequality passed on?

Across generations

- Parental income and wealth strongly predict children's economic outcomes
 - ▶ Direct wealth transfers: bequests and inheritances
 - ▶ Better schooling, networks, and risk-taking capacity
- Thus, many cases where wealth begets wealth

Across different groups within same generation

- Technology reshapes labor demand, favoring some workers over others
 - ▶ Automation displaces workers with skills substitutable with technology
- Returns to education and skills have risen, widening the college wage premium
- Dispersed resources also explains inequality across gender, regions, race and etc

Income distribution across education attainment (US example)

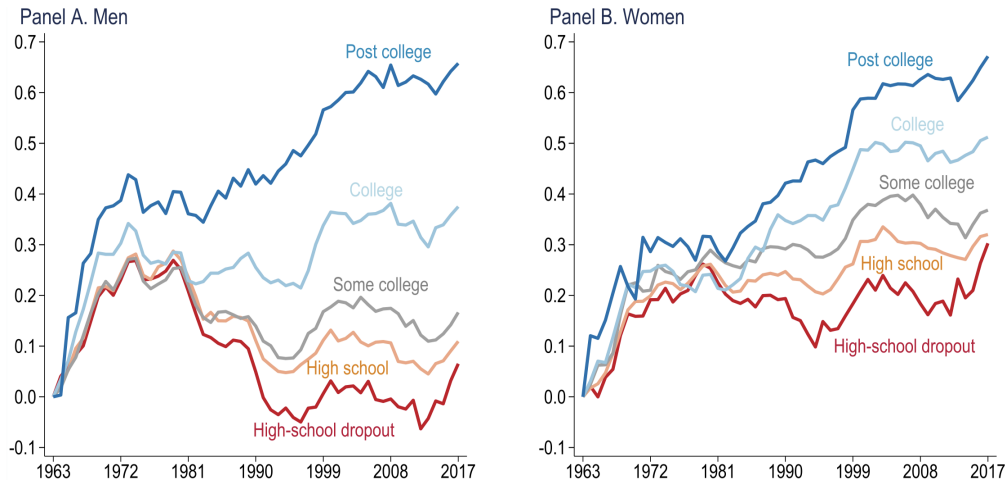


FIGURE 1.—Cumulative growth of real hourly wages by gender and education (from Autor (2019)).

Roadmap for today

1. Overview of the topic

2. Measuring Inequality

- 2.1 Atkinson, Piketty, Saez (2011): The Top Incomes in the Long Run of History
- 2.2 Saez, Zucman (2016): Wealth Inequality in the United States Since 1913: Evidence from Capitalized Income Tax Data
- 2.3 Auten, Splinter (2024): Income Inequality in the United States: Using Tax Data to Measure Long-Term Trends

3. Transmission of inequality

- 3.1 Black, Devereux, Lundborg, Majlesi (2020): Poor Little Rich Kids? The Role of Nature versus Nurture in Wealth and Other Economic Outcomes and Behaviors
- 3.2 Autor, Levy, Murnane (2003): The Skill Content of Recent Technological Change: An Empirical Exploration
- 3.3 Acemoglu, Resrepo (2022): Tasks, Automation, and the Rise in US Wage Inequality

Atkinson, Piketty, Saez (2011): The Top Incomes in the Long Run of History

Q: What can we learn from top income shares

Do top income shares matter?

- If highly unequal, command of resource and growth concentrated at the top
- Sizeable impact on *overall* inequality
- Thus, top income shares carry a sizable implications for policy designs

This paper surveys trends in top incomes and discusses the methodology

- Identifies differential trends in top shares across the globe
- Explores what factors drive the trends in top income shares
- Faces challenges regarding consistency of income definition across time and globe

Top income shares generally show a U-shape

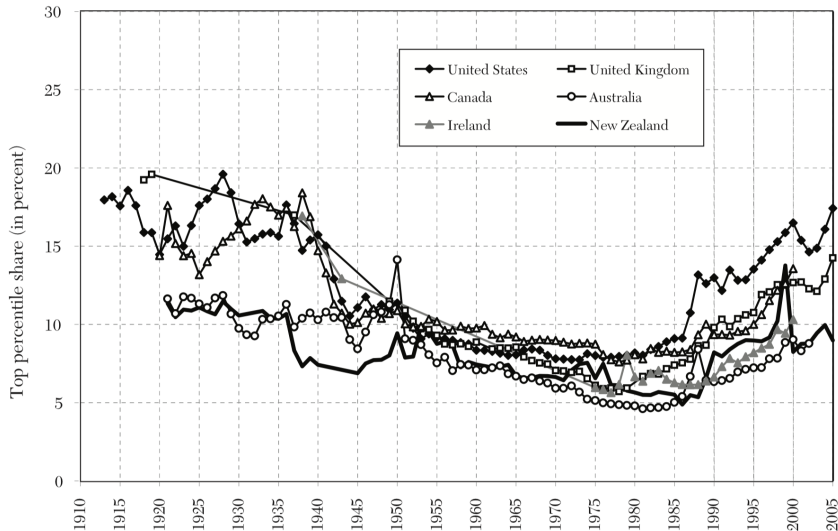


Figure 8. Top 1 Percent Share: English Speaking Countries (U-shaped), 1910–2005

With different trends in some places

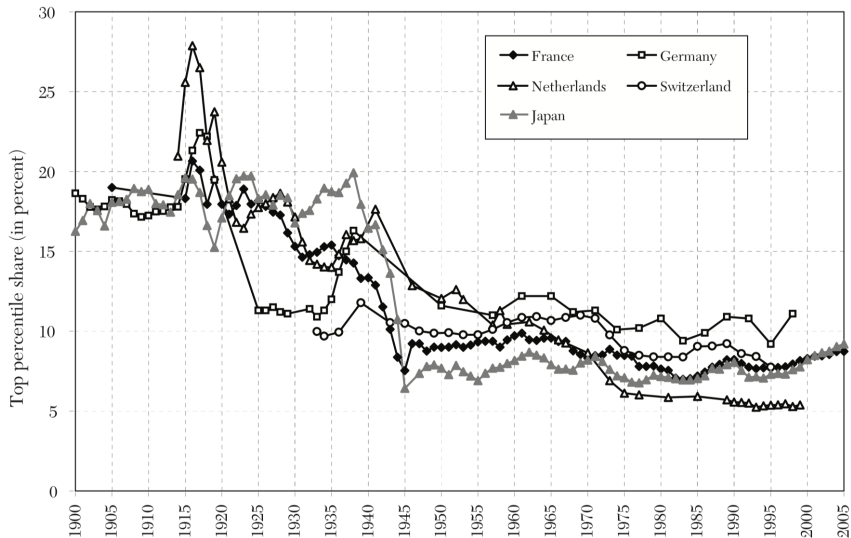
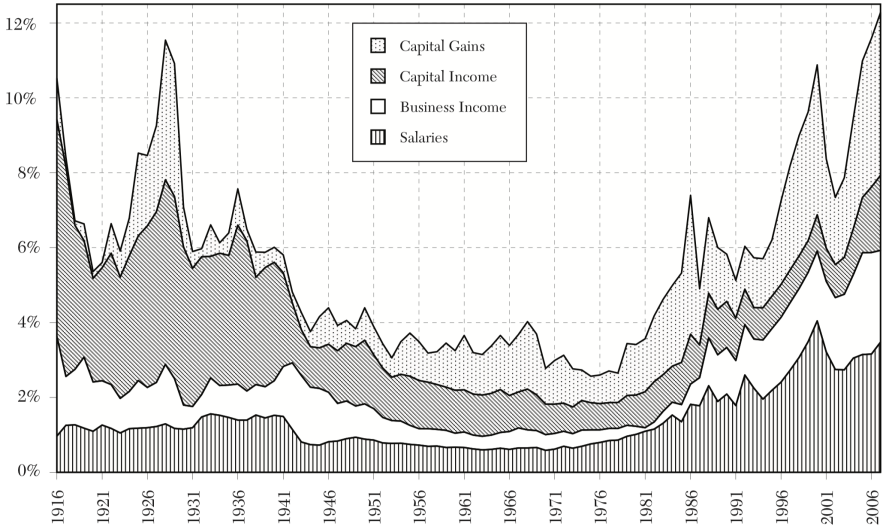


Figure 9. Top 1 Percent Share: Middle Europe and Japan (L-shaped), 1900–2005

Primarily driven by labor earnings and capital gains



Challenges faced in identifying top income shares

Challenges faced within the same country

- How many tax filers? Family + single individuals → Difficult to trace individuals
- What is income? Definition differs across time and jurisdictions
 - ▶ Especially true for capital gains (profits from sale of capital goods and assets)
 - ▶ Some countries treat it as income, others do not
- Past data: Not available at all or with significant gaps

Other potential problems

- Top income possibly underreported
- This is due to tax avoidance (legal) or tax evasion (illegal)

Where are we now in our understanding of top shares?

Widespread usage of tax data then before

- One source with long time periods and wide coverage of population
- Useful for distributional analysis (despite limits on point-estimates)
- More economics papers using tax data to study income and wealth

What needs to be done

- Inclusion of developing countries (many still missing)
- Complement tax data with inherited wealth or company data
- Consistent definition of income that takes into account well-defined tax units and income categories

Saez, Zucman (2016):
Wealth Inequality in the United States Since
1913: Evidence from Capitalized Income Tax
Data

Q: How did inequality of wealth in US change over time?

Currently available evidence on wealth inequality is mixed

- Survey of Consumer Finances, SCF: top 1% has 35% of wealth in 2013, (30% in 1992)
- Estate tax returns: top 1% has 20% of wealth in early 2010s (less than DEN, FIN, FRA)
- While wealth inequality has risen since 1970s, no consensus on exact figures

This paper sheds new light on evolution of wealth inequality with income tax data from IRS

- Based on capital income reported by taxpayers (dividends, interest, rents, profits etc)
- Computes capitalization factor mapping flow of tax income to amount of wealth recorded in household balance sheets
- Creates long-run series of wealth distribution consistent with macroeconomic totals
- Finds that top 1% owns 42% of wealth in 2012, driven by rise of top 0.1% shares

What is wealth?

Definition of wealth used in the research

- Current market value of all household-owned assets net of debts
- Most pension wealth, and all (non-)financial assets where ownership is clearly defined
 - ▶ Not included: Human capital, nonprofit institutions wealth (no clear market value), durables (no tax return info)
- Aggregate wealth of US: Based on household balance sheets of US Financial Accounts
 - ▶ Obtained from SCF, IRS, US Treasury, BEA, Census, Federal Housing Finance Agency etc

From income to wealth

- Start with capital income (9 categories) reported on individual tax returns
- Then, capitalize these incomes, while excluding components without taxable income
- Rise in capital inequality: Top 0.1% share went from 10% in 1960s → 33% in 2012

Capitalizing the income

How capitalization technique works

- Map each capital income category to wealth category in household balance sheet
- For each category, compute annual capitalization factor: $\frac{\text{Aggregate HH wealth}}{\text{Tax return income}}$
 - ▶ Understand it as how much wealth is required to generate a dollar of income
 - ▶ Capitalization factor $\uparrow \rightarrow$ Assets that generate relatively small income (savings account)
- Then, exclude assets that does not generate taxable income
 - ▶ Owner occupied housing (no rents), life insurance, offshore wealth etc

Potential challenges

- Assets generate different rate of income across households and level of wealth
- Fortunately, this method matches well with wealth held by foundations and SCF data

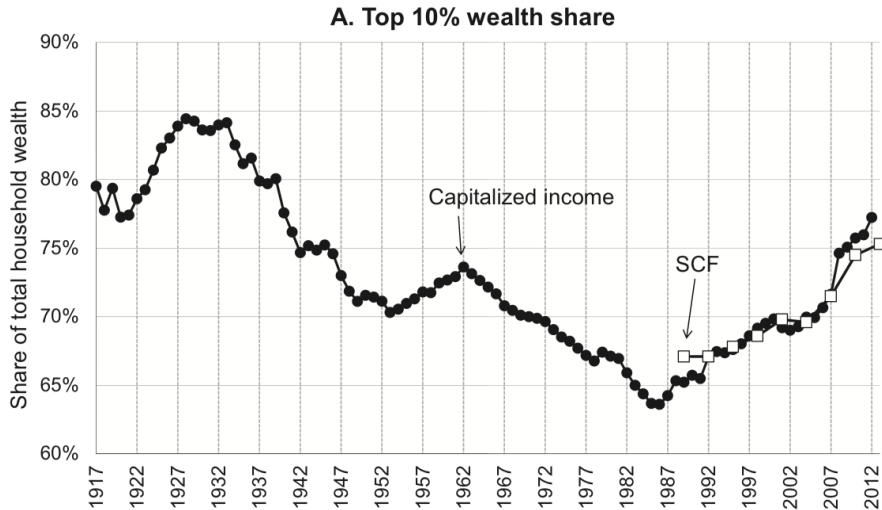
Wealth share of Top 0.1% = That of bottom 90%

THRESHOLDS AND AVERAGE WEALTH IN TOP WEALTH GROUPS, 2012

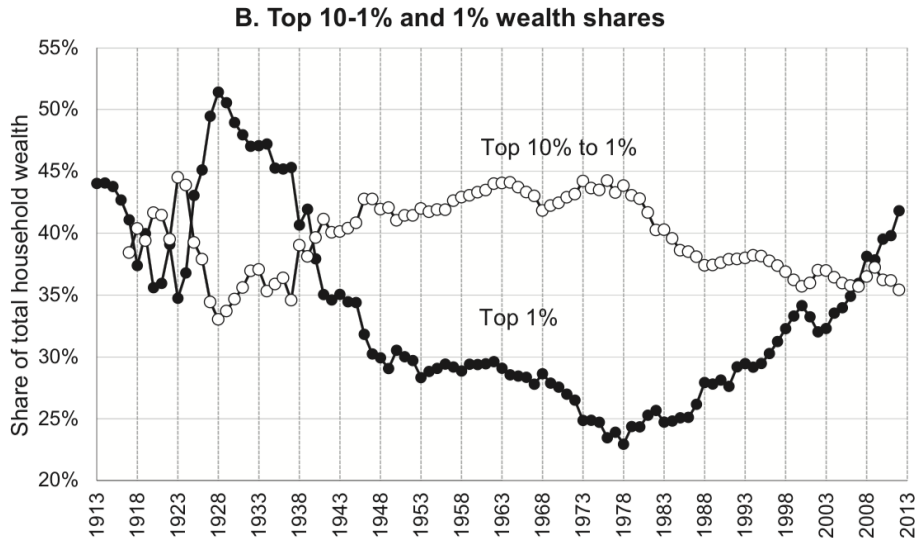
Wealth group	Number of families	Wealth threshold	Average wealth	Wealth share
Panel A: Top wealth groups				
Full Population	160,700,000		\$343,000	100%
Top 10%	16,070,000	\$660,000	\$2,560,000	77.2%
Top 1%	1,607,000	\$3,960,000	\$13,840,000	41.8%
Top 0.1%	160,700	\$20,600,000	\$72,800,000	22.0%
Top .01%	16,070	\$111,000,000	\$371,000,000	11.2%
Panel B: Intermediate wealth groups				
Bottom 90%	144,600,000		\$84,000	22.8%
Top 10-1%	14,463,000	\$660,000	\$1,310,000	35.4%
Top 1-0.1%	1,446,300	\$3,960,000	\$7,290,000	19.8%
Top 0.1-0.01%	144,600	\$20,600,000	\$39,700,000	10.8%
Top .01%	16,070	\$111,000,000	\$371,000,000	11.2%

Notes. This table reports statistics on the wealth distribution in the United States in 2012 obtained by capitalizing income tax returns. The unit is the family (either a single person aged 20 or above or a married couple, in both cases with children dependents if any). Fractiles are defined relative to the total number of families in the population. Source: Online Appendix Table B1.

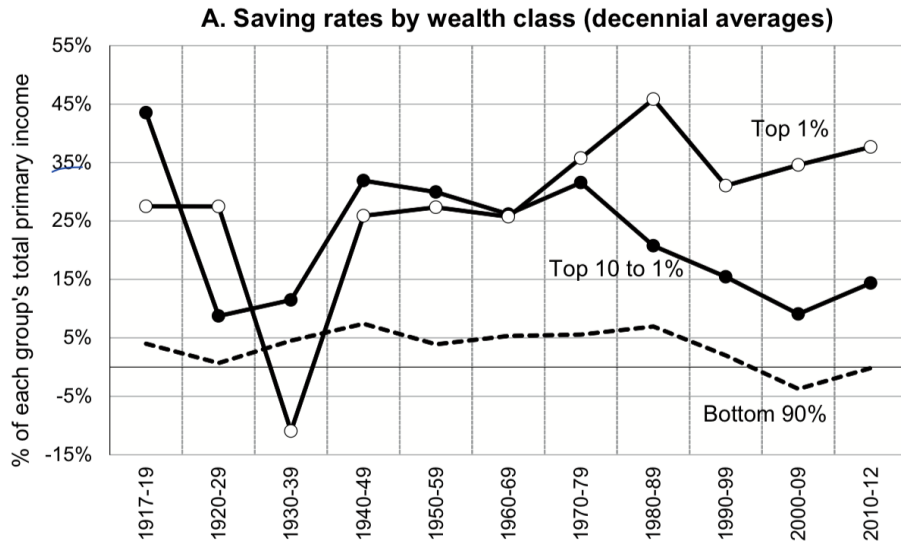
Rising wealth inequality in the past 40 years



Driven by surge in the wealth share of top 1%



Driven by rising share of inequality in saving rates



Auten, Splinter (2024):
Income Inequality in the United States: Using
Tax Data to Measure Long-Term Trends

Q: How unequal are income when measured with consistent data

Measure of income distribution over time is difficult

- Different social conditions across time (marriages, household size etc)
- Different education: Join labor market late but earn more
- Business cycles and inflation rates differ across periods
- Tax rules also change across time, and share of income missing in tax data have risen

This paper presents new estimates of the trends in income distribution (from tax data)

- With accurate measures of income taking tax reforms and technicalities into account
- Social changes are also taken into account (e.g. household size and marriage rates)
- Lower top income shares and less increase in inequality compared to other works

How are tax data used here?

Start with a seminal inequality measure from Piketty and Saez

- Create an *improved* fiscal income adjusting for tax changes in 1986
- Also take family structures (marriage rates) and sample issues into account
- Pre-tax income: Follows national income concept ()
- Pre-tax + transfers: includes government transfers, more complete economic measure
- After-tax: deducts federal, state, local taxes

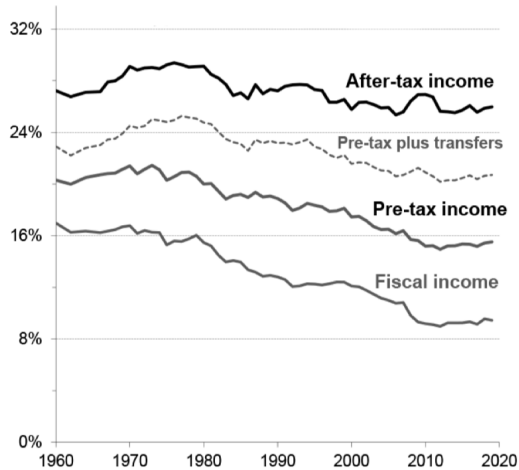
Why tax reform in 1986 and other changes matter

- Top income tax rate $<$ corporate tax rate
- So some business income shows up as individual incomes
- Broadening of tax base (those subject to taxation): Dependent and nonresident filers $\uparrow$
- Poor less likely to marry $\rightarrow$ total tax unit at bottom $\uparrow \rightarrow$ Income understated at bottom

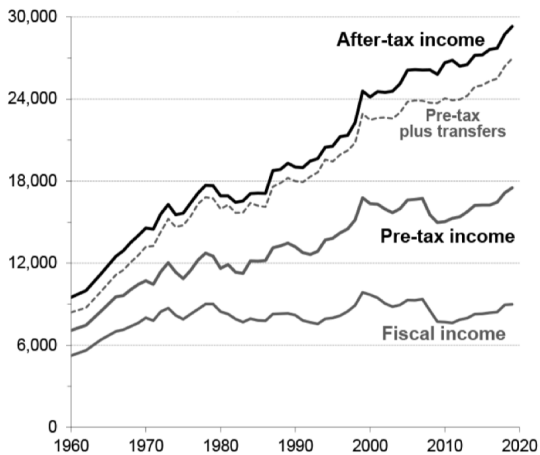
The authors adjust these factors and re-estimate income distribution across time

Income distribution of bottom 50% more optimistic

A Bottom 50% income shares

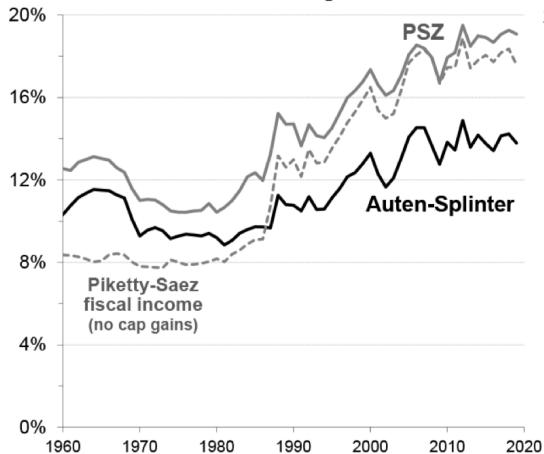


B Bottom 50% avg. real per capita income (\$2019)

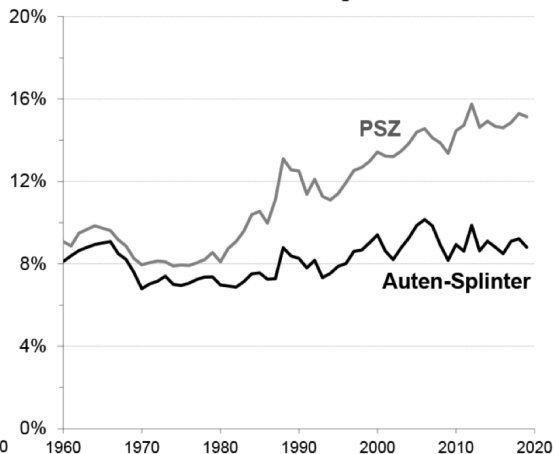


Different top 1% estimates

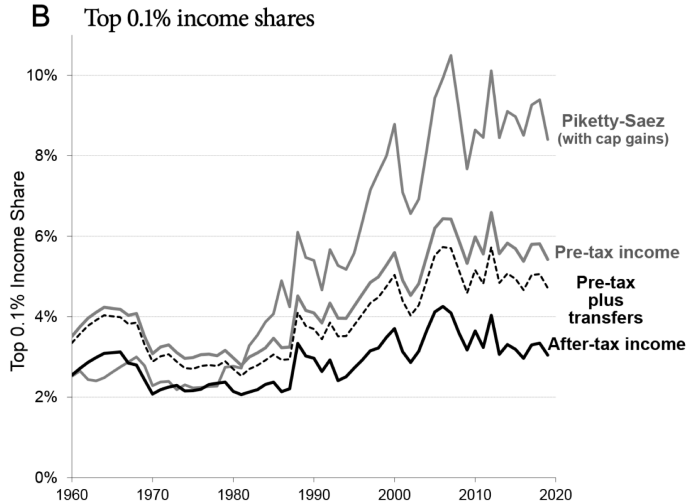
A Pre-tax national income: Top 1% share



B After-tax national income: Top 1% Share



Different top 0.1% estimates



Where do the differences occur?

1/3 of increase in top income occurred around major tax reforms

- Lower tax rates and broader tax base → Changing incentives to report income
- Top income shares in 1960s-70s rise after adjustment (i.e. incomes were 'sheltered')

Note that married couples file together

- Lower marriage rates → more tax units → more high income tax units at top
- This leads to overestimated top incomes in recent years

Other issues

- Different treatment of pensions and business income that accrue over multiple years
- Drop non-resident and dependent filers

Takeaways and remaining questions

Income distribution trends

- Top 1% income share growth are modest compared to other estimates
- Bottom 50% income share grew more compared to previous studies
- Current estimates incorporate transfers, tax reforms, and social changes across time

So what to make of these differences?

- Data discrepancies and different assumption about missing income could lead to significant differences in estimates
- This is general in any empirical studies: Lots of judgement calls involved
- Conclusions are very sensitive to these choices
- These choices should be defensible from reasonable researchers' perspective

Black, Devereux, Lundborg, Majlesi (2020):
Poor Little Rich Kids? The Role of Nature versus
Nurture in Wealth and Other Economic
Outcomes and Behaviors

Q: What determines correlation of wealth across generation?

Is it biology (nature) or environment (nurture)?

- Nature: Genetic inheritance of skills, attitudes, and preference
 - ▶ Intergenerational correlations arise because wealthy families are inherently more talented
 - ▶ They would be wealthier than others even without growing up with wealthier parents
- Nurture: Parental investments in education, opportunities, and preference
 - ▶ Intergenerational correlations arise by environment the children grows up in
 - ▶ Any children given these opportunities may benefit
- These two can interact: Environmental effect depending on biological endowments

This study disentangles nature vs nurture in intergenerational wealth using adoptees

- Observe how wealth of adoptive children relate to biological and adoptive parents
- Use Swedish administrative data covering adopted children born in 1950-70
- Are wealth different from education, income, risk preferences?

Data sources

Swedish administrative data with all citizens born between 1932-80

- Education attainment, residence, other demographics
- Swedish-born adoptees with biological and adoptive parents
- Wealth register data (used for taxes): Various financial assets, debt, real assets
- Also: Income, labor earnings, savings, and consumption (clocked at 2006)

Selection of samples

- Children born in 1950-70: Avoid someone too young to accumulate wealth
- At least one parent alive in 2006: Focus on pre-bequest wealth
- 1.2 million children, and 2,598 adopted children
- Problem: Adoptive parents relatively richer than general (∵ adoption requirements)

Empirical Strategy on intergenerational transmission

Correlate within-cohort ranks of net wealth of adoptees and parents

$$W_{ij} = \beta_0 + \beta_1 W_i + \beta_2 W_j + \beta_3 W_i^2 + \beta_4 W_j^2 + \beta_5 W_i W_j + X\beta_6 + e_{ij}$$

- W stands for within-cohort ranks of wealth (left: children, right: parents)
- i indexes biological and j indexes adoptive parents
- X are covariates: Gender, region of residence, cohort dummies for parent and child
- Capture linearity (β_1, β_2), nonlinearity (β_3, β_4) and interactions (β_5)

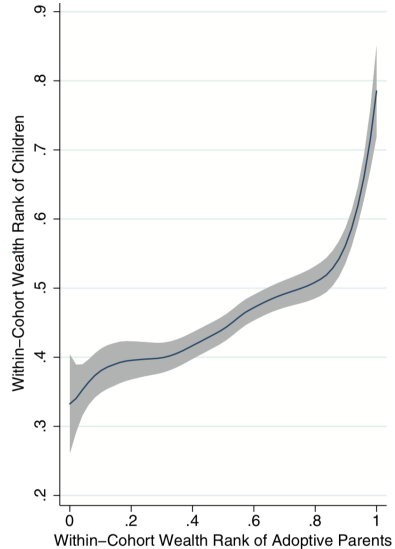
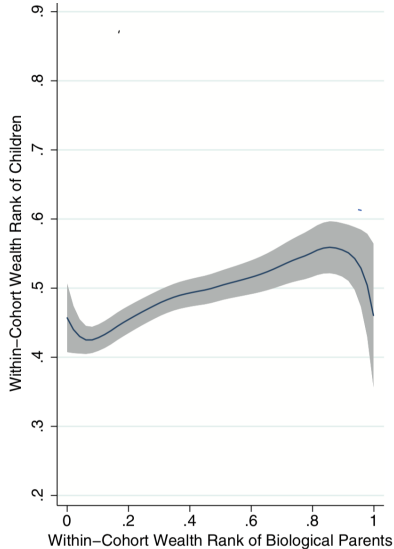
Identifying assumption

- Random assignment of adoptive families at birth
- i.e. adoption not based on systematic matching on family and child characteristics

Wealth predominantly associated with adoptive parents

	Full sample		Trimmed sample	
	(1)	(2)	(3)	(4)
Own-birth children				
Rank biological parents' net wealth	0.344 (0.001)***	0.102 (0.003)***	0.328 (0.001)***	0.187 (0.004)***
Rank biological parents' net wealth squared		0.242 (0.003)***		0.141 (0.004)***
Observations	1,219,014	1,219,014	1,097,191	1,097,191
R^2	0.152	0.156	0.124	0.124
Adopted children				
Rank biological parents' net wealth	0.088 (0.045)*	0.139 (0.087)	0.075 (0.062)	0.034 (0.121)
Rank biological parents' net wealth squared		-0.044 (0.086)		0.049 (0.117)
Rank adoptive parents' net wealth	0.261 (0.033)***	-0.022 (0.082)	0.193 (0.045)***	0.164 (0.120)
Rank adoptive parents' net wealth squared		0.278 (0.079)***		0.030 (0.115)
Rank biological parents*	0.037 (0.075)	0.014 (0.076)	0.097 (0.105)	0.093 (0.106)
Rank adoptive parents				
Observations	2,598	2,598	2,027	2,027
R^2	0.128	0.133	0.113	0.113

And largely in a linear relationship



Environment matters for wealth, Nature matters for some others

	(1)	(2)	(3)	(4)	(5)	(6)	(7)
	Years of schooling	Earnings rank	Income rank	Risky market participation	Risky share rank	Saving rate rank	Consumption rank
Own-birth children							
Biological parents	0.341 (0.001)***	0.177 (0.001)***	0.193 (0.001)***	0.220 (0.001)***	0.096 (0.001)***	0.098 (0.001)***	0.177 (0.001)***
Observations	1,219,014	1,162,512	1,202,401	1,219,014	702,598	1,161,161	1,161,161
R^2	0.172	0.232	0.236	0.050	0.019	0.023	0.385
Adopted children							
Biological parents	0.184 (0.022)***	0.063 (0.020)***	0.064 (0.020)***	0.116 (0.020)***	-0.009 (0.030)	0.007 (0.030)	0.085 (0.021)***
Adoptive parents	0.143 (0.016)***	0.092 (0.018)***	0.108 (0.018)***	0.147 (0.024)***	0.138 (0.025)***	0.129 (0.023)***	0.134 (0.023)***
Sum biological and adoptive parents	0.327 (0.025)***	0.156 (0.025)***	0.172 (0.025)***	0.263 (0.030)***	0.129 (0.039)***	0.135 (0.038)***	0.220 (0.031)***
Observations	2,598	2,379	2,534	2,598	1,287	2,363	2,363
R^2	0.138	0.187	0.179	0.080	0.092	0.070	0.405

Takeaways and remaining questions

Key findings

- Wealth transmission is primarily due to environment
- Not because children of wealthier families are more inherently able
- Environment determines other wealth-related variables (biology for human capital)
- No meaningful interaction between nature and nurture

Remaining questions

- Wealth begets wealth: So how does this relate to growing inequality?
- Poorer families increasingly have fewer opportunities and environmental advantages
- Need for policy to equalize opportunities and mitigate intergenerational disparities

Autor, Levy, Murnane (2003):
The Skill Content of Recent Technological
Change: An Empirical Exploration

Q: How does computerization affect job skill demands?

Why are educated workers more in demand than lesser-educated workers?

- Striking correlation between adoption of computers and demand for college graduates
- Rise in earnings gap between college and non-college graduates (skill premium)
- But what about computers (or what people do with computers) explains this pattern?

This paper: Computers change tasks workers perform, affecting demand for skills

- Computers complement certain human tasks, while substituting other human tasks
 - ▶ Routine tasks: Cognitive and manual tasks that follow explicit guidelines
 - ▶ Non-routine tasks: Problem-solving and complex communication activities
- Computers substitute for routine tasks, complement non-routine cognitive tasks
- Notes shifts away from routine tasks to non-routine ones, regardless of education

What types of tasks?

Tasks are categorized based on what machines can do (and can't)

- Can perform repetitive tasks with instructions accurately and rapidly
- They can also perform symbolic processing (storing, retrieving information)

Classification of tasks

- Routine tasks can be accomplished with machines, based on programmed rules
 - ▶ Many manual tasks (not all) fall into this category
 - ▶ But some cognitive ones too: Calculating, coordinating, record-keeping
- Non-routine tasks require flexibility, creativity, problem-solving, and communications
 - ▶ Often occurs without explicit guidelines
- Prediction: Computers replace routine tasks but complement non-routine works

Some examples

PREDICTIONS OF TASK MODEL FOR THE IMPACT OF COMPUTERIZATION ON FOUR CATEGORIES OF WORKPLACE TASKS

	Routine tasks	Nonroutine tasks
	Analytic and interactive tasks	
Examples	• Record-keeping • Calculation • Repetitive customer service (e.g., bank teller)	• Forming/testing hypotheses • Medical diagnosis • Legal writing • Persuading/selling • Managing others
Computer impact	• Substantial substitution	• Strong complementarities
	Manual tasks	
Examples	• Picking or sorting • Repetitive assembly	• Janitorial services • Truck driving
Computer impact	• Substantial substitution	• Limited opportunities for substitution or complementarity

Confirming this with data

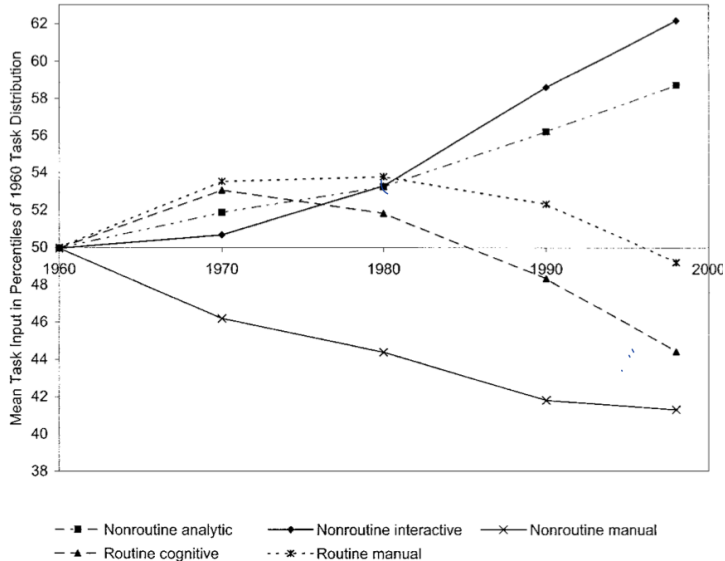
Data source

- Dictionary of Occupational Titles (DOT) from US Department of Labor
- Evaluate intensity of routines for 12,000 occupations across 44 dimensions
- Merged with Census (based on occupation codes) for individual level characteristics

Empirical strategy: Measuring changing job task requirements over time

- Changes over time in occupational distribution of employment (extensive)
- Also keep track of task contents within occupation (intensive)
- Also tracks differences in computer adoption across industries and time

Trends in occupational distribution based on task content



Changes in tasks within industries

		1. 1990– 1998	2. 1980– 1990	3. 1970– 1980	4. 1960– 1970
A. Δ Nonroutine analytic	Δ Computer use 1984–1997	12.04 (4.74)	14.02 (4.97)	9.11 (4.17)	7.49 (5.28)
	Intercept	0.07 (1.00)	−0.66 (1.03)	−0.26 (0.86)	−0.55 (1.05)
	R^2	0.04	0.05	0.03	0.01
	Weighted mean Δ	2.45	2.05	1.48	0.83
B. Δ Nonroutine interactive	Δ Computer use 1984–1997	14.78 (5.48)	17.21 (6.32)	10.81 (5.71)	7.55 (6.64)
	Intercept	1.02 (1.15)	1.46 (1.31)	2.35 (1.17)	0.10 (1.32)
	R^2	0.05	0.05	0.03	0.01
	Weighted mean Δ	3.94	4.79	4.42	1.49
C. Δ Routine cognitive	Δ Computer use 1984–1997	−17.57 (5.54)	−13.94 (5.72)	−11.00 (5.40)	−3.90 (4.48)
	Intercept	−0.11 (1.17)	0.63 (1.19)	1.63 (1.11)	1.78 (0.89)
	R^2	0.07	0.04	0.03	0.01
	Weighted mean Δ	−3.57	−2.07	−0.47	1.06
D. Δ Routine manual	Δ Computer use 1984–1997	−24.72 (5.77)	−5.94 (5.64)	−6.56 (4.84)	4.15 (3.50)
	Intercept	1.38 (1.22)	−0.16 (1.17)	2.09 (0.99)	0.85 (0.70)
	R^2	0.12	0.01	0.01	0.01
	Weighted mean Δ	−3.50	−1.31	0.84	1.62

Takeaways and remaining questions

Takeaways

- Computerization substitutes for routine tasks and complements non-routine ones
- This explains a decrease in demand for routine tasks since 1970s
- Tasks, not just skills accumulated through education, explains gap in demand

Remaining questions: Note that this paper came out in 2003

- AI introduces a new challenge: Evidence that non-routine tasks are substitutable
- Thus, it is feasible that demand for these workers can change
- Updated explanations for earnings gap and inequality in demand required

Acemoglu, Resrepo (2022):
Tasks, Automation, and the Rise in US Wage
Inequality

Q: How does automation affect wage inequality?

Rising wage inequality across industrialized economics

- Real wages of post-college graduates on the rise
- Those of workers with lower educational attainment stagnant or falling
- Could this be explained by differential displacement following automation?
 - ▶ Workers with routine tasks vs tasks not replaceable with automation

This paper provides and tests the framework explaining how automation affects wages

- Lays out channels for how technological changes affect wages
- It can displace workers, and also reduce real wages of workers not yet displaced
- Empirically investigate relationship between wage changes and task displacement across different groups

Link between automation and displacement: Very simplified

Allocation of task x across capital and different types of labor

- Each task (say knitting clothes) is allocated across capital and different types of labor
- There is different productivity specific to each factor of production
- And the productivity of a given factor can differ based on tasks it performs

Technology can affect productivity and factors in these ways

- It can augment productivity of capital / labor as a whole
- It can increase productivity of a factor doing a particular task
- It can increase productivity of capital at tasks previously carried out by labor
 - ▶ The last case leads to displacement of labor: Robots replacing blue-collar tasks
- Technologies improving productivity of skilled labor do not involve displacement
- Technologies that reduce comparative advantage of workers leads to displacement

Data and empirical strategy

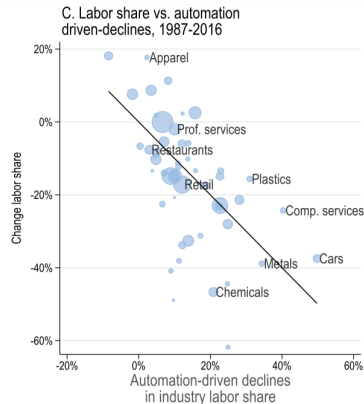
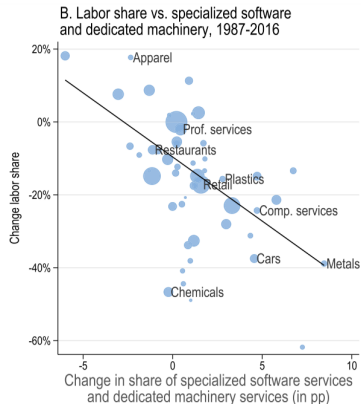
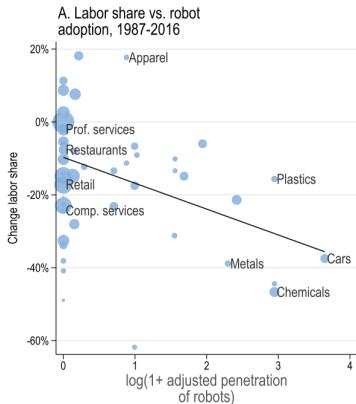
Data sources

- BEA: industry labor shares, factor prices, and value added
- Census and American Community Survey: labor market outcomes by gender, education, age, race etc.

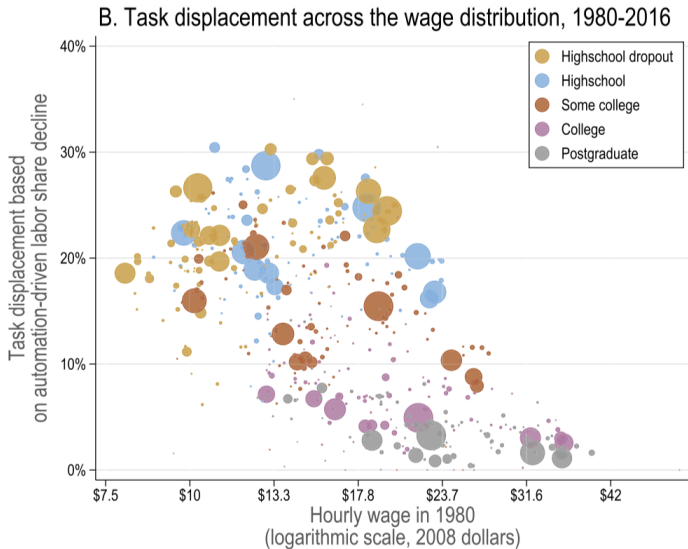
Empirical Analysis for reduced form approach (there are more in the text)

- Uses two measures of displacements
 - ▶ Do share of labor within an industry decline? (not just due to automation)
 - ▶ How much of the decline in labor shares are driven by automation?
- Starts with a descriptive relationship between displacement measures and wages
- Then see if it holds after controlling for industry and demographic characteristics

Automation and labor shares negatively correlated



Middle-wage workers face highest task displacement



Task displacement negatively correlated with wage growth

TASK DISPLACEMENT AND CHANGES IN REAL HOURLY WAGES, 1980–2016.

	Dependent Variables: Change in Hourly Wages, 1980–2016			
	(1)	(2)	(3)	(4)
PANEL A. TASK DISPLACEMENT BASED ON LABOR SHARE DECLINES				
Task displacement	−1.60 (0.09)	−1.32 (0.16)	−1.31 (0.19)	−1.66 (0.44)
Industry shifters		0.21 (0.09)	0.31 (0.12)	0.35 (0.16)
Exposure to industry labor share decline				0.18 (0.66)
Relative specialization in routine jobs				0.07 (0.07)
Share variance explained by task displacement	0.67	0.55	0.55	0.70
<i>R</i> -squared	0.67	0.70	0.84	0.84
Observations	500	500	500	500

Results similar with alternative displacement measure

PANEL B. TASK DISPLACEMENT BASED ON AUTOMATION-DRIVEN				
	LABOR SHARE DECLINES			
Task displacement	-1.65 (0.10)	-1.41 (0.20)	-1.36 (0.21)	-1.86 (0.47)
Industry shifters		0.15 (0.11)	0.10 (0.14)	0.20 (0.16)
Exposure to industry labor share decline				-0.68 (0.80)
Relative specialization in routine jobs				0.10 (0.08)
Share variance explained by task displacement	0.64	0.55	0.53	0.72
R-squared	0.64	0.66	0.83	0.83
Observations	500	500	500	500
<i>Other covariates:</i>				
Manufacturing share, education and gender dummies			✓	✓

Remaining questions on inequality

Reconciling differences in interpretation remains tricky

- Definition of income, tax units may differ
- Choices on what counts leads to drastically different conclusions

How do we address inequality?

- Redistribution (transfers and taxation) could be one way
- But it can distort incentives of both the poor and the rich
 - ▶ Labor incentives could be distorted for both (but for different reasons)
- Fiscal stability concerns vs long-run gains from more equal distribution
- What policies make opportunities more equal?
 - ▶ Early childhood care, education and health interventions, cash transfers, wealth taxes?